

**BEFORE THE  
FEDERAL MARITIME COMMISSION**

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**Docket No. 14-06**

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**SANTA FE DISCOUNT CRUISE PARKING, INC. d/b/a EZ  
CRUISE PARKING; LIGHTHOUSE PARKING, INC.; and  
SYLVIA ROBLEDO d/b/a 81<sup>st</sup> DOLPHIN PARKING**

**Complainants**

**v.**

**THE BOARD OF TRUSTEES OF THE GALVESTON  
WHARVES and THE GALVESTON PORT FACILITIES  
CORPORATION**

**Respondents**

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**COMPLAINANT 81<sup>ST</sup> DOLPHIN'S REPLY BRIEF ON  
LIMITED REPARATIONS ISSUE ON REMAND**

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November 22, 2022

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## **INTRODUCTION**

Complainant Sylvia Robledo d/b/a 81<sup>st</sup> Dolphin Parking (“81<sup>st</sup> Dolphin” or “Complainant”),<sup>1</sup> in accordance with the Administrative Law Judge’s (“ALJ”) August 30, 2022 Remand Reconsideration Scheduling Order (“RRSO”) and subsequent November 7, 2022 Order on Respondent’s Motion to Submit Supplemental Evidence and Complainant’s Request for an Extension of Time (“November 7<sup>th</sup> Order”), and in response to Respondent The Board of Trustees of the Galveston Wharves’ (“Respondent” or the “Wharves Board”) October 31, 2022 Reply Brief on Remand (Respondent’s “Response Brief” or “Resp. Br.”), Complainant 81<sup>st</sup> Dolphin submits this Reply Brief on Limited Reparations Issue on Remand (“Reply Brief”), addressing new issues and evidence raised by Respondent’s Response Brief. Contemporaneous herewith, under separate cover, Complainant files its Objections and Responses to Respondent’s Proposed Supplemental Findings of Fact.

Addressing the new issues and arguments raised for the first time in Respondent’s Response Brief, Complainant submits an additional appendix in conformity with the ALJ’s August 30, 2022 Remand Reconsideration Scheduling Order, containing only evidence that was previously submitted into the record, indicating the name and date of the filing in which such evidence was previously submitted, and containing the original bates numbers. In the ALJ’s November 7<sup>th</sup> Order, the ALJ permitted Respondent to submit evidence that had not previously been made a part of the record in this proceeding, and allowed Complainant to do the same in this Reply. (November 7<sup>th</sup> Order, at 3). Complainant is not submitting any additional evidence that is not already in the record of this case.

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<sup>1</sup> While this proceeding originally began with multiple complainants and multiple defendants, because only one party on each side remains, throughout this brief “Complainant” and “Respondent” shall be used in the singular, regardless of whether it refers to a time-period when multiple parties existed on one side or the other.

## **ARGUMENT AND AUTHORITIES**

Three short blasts from a cruise ship's whistle indicates she is moving astern. Respondent has sounded that whistle, attempting to roll back this proceeding and reverse course on its prior positions and admissions. Respondent's most recent brief advances new theories and creative interpretations of facts coupled with baseless assumptions in attempt to backpedal prior judicial admissions made to the Federal Maritime Commission ("FMC" or "Commission") and ALJ in this proceeding. Complainant files this Reply Brief to refocus the argument on the facts.

Since the inception of this case, Complainant and Respondent have submitted facts and arguments addressing Respondent's violations of 46 U.S.C. § 41106(2) (the "Shipping Act") with regard to Access Fees charged under the Tariff.<sup>2</sup> The Commission found two separate violations of the Shipping Act by Respondent. The first such violation ("Violation 1") arises from the Tariff's preferential treatment of limousines beginning as early as the 2006 Tariff, and ending with the enforcement of the July 1, 2014 Tariff amendment. (OIDR at 22-27, 38-39).<sup>3</sup> The second violation ("Violation 2") arises from Respondent's selective enforcement of the Tariff. (OIDR at 27-34, 39). Under this second violation, Respondent consistently collected Access Fees from Complainant pursuant to the Tariff, while limousines were not subjected to the same enforcement. (OIDR at 32-34). According to Respondent's own briefings, evidence submitted, and admissions, this second violation of the Shipping Act began in 2008 and persisted until August 2014. (*See, e.g.,* Resp. Corr. Br., at 23, fn.6; OIDR at 33).<sup>4</sup> From these two violations, collectively, Complainant seeks \$17,576.00 in reparations.

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<sup>2</sup> The "Tariff" at issue refers to the Board of Trustees Of The Galveston Wharves Tariff Circular No. 6, as issued by Respondents. The revision numbers relevant to this matter are the 5th (Dec. 17, 2007 – June 30, 2014) and 7th (July 1, 2014 – Sept. 22, 2014) Revisions. (*See* Comp. App. 001 and 002).

<sup>3</sup> "OIDR" shall refer to the Commission's April 16, 2021 Order on Initial Decision on Remand.

<sup>4</sup> "Resp. Corr. Br." shall refer to the June 12, 2015 Corrected Brief of Respondents The Galveston Wharves and the Galveston Port Facilities Corporation.

## **I. The standards used in *Ceres II* apply to the case at hand**

Respondent challenges Complainant's reliance on the Commission's decision in *Ceres Marine Terminals, Inc. v. Maryland Port Admin.*, Docket No. 94-01, 29 S.R.R. 356, 374 (FMC Aug. 15, 2001) (*Ceres II*) for the proper measure of damages with respect Respondent's section 41106(2) violations on grounds that the decision was subsequently reversed on other grounds – namely, that the Port of Maryland Port Administration (“MPA”) was immune from Ceres' complaint. (Respondent's Resp. Br., at 21). Respondent contends that the Commission's reversal of its prior decisions in *Ceres* “had the effect of or rendering the entire proceeding and all rulings of law regarding the MPA's liability to Ceres Marine Terminals a nullity as the Commission never had jurisdiction to consider the case.”<sup>5</sup> *Id.*

However, as acknowledged by Respondent, the Commission *reversed* its prior decisions in *Ceres II* rather than *vacating* them. A decision that is reversed on other grounds may still be relied upon for precedential value, while only a vacated decision has no precedential authority. *See, e.g., Cent. Pines Land Co. v. U.S.*, 274 F.3d 881, 894 n.57 (5th Cir. 2001) (“This case illustrates the important difference between our treatment of a panel opinion after *vacatur* by the Supreme Court and our treatment when a judgment is reversed on other grounds. While our prior opinion in *Leiter Minerals II* did not bind the *Little Lake* panel because it was *vacated*, the opinion in *Little Lake* binds us because only the *judgment* was reversed on other grounds.”) (emphasis in original) (citations omitted). Moreover, the D.C. Circuit has even recognized that decisions vacated on immunity grounds retain precedential value on unrelated issues. *Edmond v. U.S. Postal Serv. Gen. Couns.*, 949 F.2d 415, 424 n.17 (D.C. Cir. 1991) (“Although vacated because of an intervening

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<sup>5</sup> Respondent also suggests in one sentence of its brief that the Commission's comparison of lease rates in *Ceres II* is somehow not analogous to comparison of access fees charged in this matter. However, Respondent provided no further argument or legal analysis in support the hollow and nonsensical assertion.

Supreme Court decision covering immunity, the *Briggs* opinion retains precedential weight on other issues.”).

Accordingly, the *Ceres II* opinion is precedential, and is routinely cited by the Commission as controlling authority. See, e.g., *Bimsha International v. Chief Cargo Services, Inc. and Kaiser Apparel, Inc.*, Docket No. 10-08, 2013 FMC LEXIS 32 (FMC 2013); *Maier Terminals, LLC v. Port Authority of New York and New Jersey*, Docket No. 08-03, 2011 FMC LEXIS 3 (FMC May 16, 2011); *Port Elizabeth Terminal & Warehouse Corp. v. The Port Authority of New York and New Jersey*, Docket No. 17-07, 1 F.M.C.2d 29, 2018 FMC LEXIS 44 at \*22 (FMC 2018).

As already recognized by ALJ Guthridge in this case, in *Ceres II*, the Commission found that the proper measure of damages for a violation of section 41106(2) [formerly sections 10(b)(11) and (12) of the Shipping Act] is the difference between the rate that was charged and collected, and the rate that would have been charged but for the undue preference and prejudice. *Ceres II*, 29 S.R.R. at 374. In *Ceres II*, the Commission relied upon its prior decision in *Valley Evaporating v. Grace Line Inc.*, 11 S.R.R. 873, 14 F.M.C. 16 (1970), wherein it held “where a duty is ‘absolute’ and a competitive relationship is not necessary to prove undue or unreasonable preference or prejudice [as with Complainant’s section 41106(2) claims here<sup>6</sup>], the proper measure of damages is the amount of unlawful excess exacted, **which is akin to an overcharge**. The measure of damages is the difference between the rate charged and the rate that would have applied but for the unlawful discrimination or prejudice.” *Valley*, 14 F.M.C. at 25 (emphasis added); see also *General Mills, Inc. v. Hawaii*, 17 F.M.C. 1 (1973) (finding that proof of competitive injury

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<sup>6</sup> As set forth in the Commission’s January 13, 2017 Order Affirming Initial Decision’s Dismissal of Complaint (“OAIDDC”), Complainant is not required to show that she was similarly situated or in a competitive relationship for her section 41106(2) claims. See also, e.g., *New Orleans Stevedoring Co. v. Bd. Of Com’rs of Port of New Orleans*, 29 S.R.R. 1066, 1070 n.3 (F.M.C. 2002) (same).

was unnecessary for a section 16 violation of the 1916 Shipping Act because of a carrier's duty to apply its criteria fairly and impartially, and awarding rate differential reparations).

During all stages of this proceeding, the OALJ and the Commission (and the D.C. Circuit on appeal for that matter) have all relied upon *Ceres II* and its progeny for the legal framework in determining whether Respondent violated its statutory duty under section 41106(2) of the Shipping Act. Now, after determining a violation did occur, Respondent asks your Honor to depart from fifty years of precedent finding rate differential reparations as the proper measure of damages for violations of section 10(b)(11) and (12) [now section 41106(2) in this case] of the Shipping Act. *Valley* and its progeny (including *Ceres II*) control the manner and method of this calculation. Because certain limousines were not charged Access Fees under the Tariff (Violation 1) and other limousines were not charged the Access Fees required by the Tariff (Violation 2), Complainant's reparations award is to be measured by the difference between the amount charged Complainant and the amount charged those limousines – zero. Therefore, Complainant is entitled to all of the Access Fees that she paid to Respondent during the reparations period (June 16, 2011 through July 31, 2014) for its violations of the Shipping Act.

## **II. The End Date of the Reparations Period is either June 30, 2014 or July 31, 2014**

Of Respondent's two Shipping Act violations, the Commission has only permitted the parties to submit briefs addressing the end-date for Respondent's "selective enforcement" violation, not the violation arising from the Tariff's preferential treatment of limousines from 2007 through June 30, 2014. (CRRO at 2, 13-14, 19).<sup>7</sup> The established end-date for the reparations period arising from Respondent's Shipping Act violation of not imposing Access Fees on

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<sup>7</sup> "CRRO" or "Commission Remand Reconsideration Order" shall refer to the Commission's June 2, 2022 Order Granting in Part and Denying in Part Petition for Reconsideration.

limousines in the December 17, 2007 Tariff is established as June 30, 2014—the day before Respondent’s July 1, 2014 Tariff took effect. (CRRO at 39; *see also* CR/R 001 at 000017; CR/R 002 at 000094; CR/R 003 at 000165).<sup>8</sup> Accordingly, all of Respondent’s arguments and evidence suggesting that it charged Access Fees to limousines in April, May, or any other month in 2014 has zero effect on the June 30, 2014 reparations end-date for the Shipping Act violation arising from the Tariff’s preferential treatment of limousines.

Because the only reparations period the Commission permitted briefing on is the Shipping Act violation arising from Respondent permitting limousines free access to the Cruise Terminal in violation of the Tariff, the end-date for the collective reparations period is no earlier than June 30, 2014, and no later than July 31, 2014.

### **III. Calculating Reparations**

Throughout the entire reparations period, Complainant paid the Port Use Permit fees, Decal Fees, and Access Fees imposed by the Tariff. There is no claim in this proceeding that any other Cruise Terminal user(s) did not also pay the Port Use Permit fees and Decal Fees required by the Tariff. The evidence in the record of this case clearly shows that Complainant paid Access Fees pursuant to the Tariff, calculated at \$8 per parking space per month for the duration of the reparations period. (Comp. App. 004 at CX/R 000109-113, 000123-160; Comp. App. 005 at CX/R 000168-169; Comp. App. 006; Comp. App. 007; Comp. App. 008 at CX/R 000177-179).<sup>9</sup> The evidence further shows that, with respect to the reparations period, the Tariff did not impose Access Fees on limousines with a seating capacity of not more than eight (8) persons until July 1,

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<sup>8</sup> Citations in this Reply Brief to Respondent’s Oct. 31, 2022 Appendix will cite to “CR/R” followed by the three-digit tab number, followed by the page number, if any (*e.g.*, CR/R 001 at 000017).

<sup>9</sup> Citations to Complainant’s Nov. 22, 2022 Updated Appendix will cite to “Comp. App.” followed by the three-digit tab number, followed by the CX/R number of the specific page, if any (*e.g.*, Comp. App. 004 at CX/R 000109).

2014. (CR/R 001 at 000017; CR/R 002 at 000094; Comp. App. 002 at CX/R 000007). This was Respondent’s first violation of the Shipping Act for which reparations are owed.

Additionally and alternatively, the evidence shows that from 2008 through August 2014, all limousines were granted access to the Cruise Terminal without the burden of paying Access Fees, whether required by the Tariff or not. (*See, e.g.*, Resp. Corr. Br., at 23, fn.6; OADR at 33). This was Respondent’s second violation of the Shipping Act for which reparations are owed.

Apart from the seemingly even-handed application of Decal Fees to Cruise Terminal Users such as Complainant and limousines of all seating capacities, in addition to what other Cruise Terminal Users were charged by Respondent, Complainant was also charged Access Fees to access the Cruise Terminal, while limousines were not. Therefore, because there was no disparate treatment alleged or found regarding the imposition and collection of Decal Fees between Complainant and other Cruise Terminal Users, including limousines, no Shipping Act violation relating to such fees was found, and no reparations are owed to Complainant for having paid more in Decal Fees than another Cruise Terminal user—all appear to have paid Decal Fees as required by the Tariff.

Accordingly, it is that category of Tariff fees, the Access Fees, which give rise to the two Shipping Act violations at issue in this proceeding, and it is those fees paid by Complainant but not by limousines—in violation of the Shipping Act—which form the corpus of the reparations owed.

**A. “Permit” and “registration” fees are not to be included in calculation of reparations**

As an initial matter, per the Commission’s April 16, 2021 Order on Initial Decision on Remand (“OADR”), the parties are permitted to brief “the extent to which decal fees affect the reparations calculation.” (OADR at 40). Respondent’s Response Brief attempts to extend the

briefing limitations established by the Commission and ALJ beyond Decal Fees by incorporating into its arguments, calculations, and conclusions, amounts paid by Complainant and purported limousine service companies not only Decal Fees and Access Fees, but also fees charged for additional permits and registration. (*See, e.g.*, Respondent’s Resp. Br., at 22-28 (Respondent fully incorporates “registration” and “permit” fees into its argument and calculations, referencing same interchangeably and/or collectively no fewer than seventeen (17) times) and making no distinction between Decal Fees and other “registration” and “permit” fees). These additional “permit” and “registration” fees are unique from Decal Fees and from Access Fees in that their purpose and function extend and apply to a much broader range of users and uses of port property, beyond those who access the Cruise Terminal. (*See* CR/R 002 at 000091-094; CR/R 003 at 000162-165). Moreover, and importantly, Respondent itself informs the Honorable Judge that both registration and decal fees were imposed “regardless of whether the vehicles actually accessed the terminals.” (Respondent’s Resp. Br., at 23). Accordingly, no component of either charge could bear any relationship to the cost of access to the Cruise Terminal. Indeed, permit and registration fees are paid by many companies that do not access or utilize the Cruise Terminal at all. And, while “decal fees” are paid in order to identify authorized commercial vehicles within the Cruise Terminal, there is no evidence that the amount charged approximates anything other than the cost of the decal itself and administration expenses incurred for issuing same.

The Tariff identifies that “permit”<sup>10</sup> and “registration” fees “are required for [certain identified] categories of business conducting activities on or in connection with the property of the Galveston Wharves,” not only those accessing the Cruise Terminal. (*See* CR/R 002 at 000091; CR/R 003 at 000162; *see also* CR/R 002 at 000094 and CR/R 003 at 000165 (identifying that in

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<sup>10</sup> The Tariff identifies that the “permit” referenced is the “Port Use Permit.” (*See* CR/R 002 at 000091-093; CR/R 003 at 000162-165).

addition to purchasing the annual port-wide permit, Ground Transportation Companies with vehicles that may enter the Cruise Terminal must also purchase an annual decal for each such prospective vehicle, and pay Access Fees for access by each such vehicle)).

Because the “permit” and “registration” fees are not limited to Cruise Terminal users; because Respondent has not shown that such additional fees incorporated into its arguments, calculations, and conclusions were in any way related to the Cruise Terminal; and because the Commission and ALJ’s orders limit the parties’ briefing to Decal Fees, the inclusion or consideration of “permit” and “registration” fees is inapplicable to the issue of reparations, improper, beyond the permissible scope of briefing, and is objected to. Furthermore, there is no evidence in the record, nor argument made, that Respondent violated the Shipping Act with respect to permit and registration fees.

**B. “Decal Fees” are not “Access Fees,” and the Pleadings and Briefing Prove It**

Respondent requires that all entities “conducting activities on or in connection with” Respondent’s property, not only those accessing the Cruise Terminal, must purchase an annual Port Use Permit. (CR/R 001 at 000016-018; CR/R 002 at 000091-094; CR/R 003 at 000162-165; Comp. App. 002 at CX/R 000007). In order to qualify for a Port Use Permit, Respondent requires all vehicles that access its property to have insurance – but the procurement and cost of such insurance is not an Access Fees. (CR/R 001 at 000016-018; CR/R 002 at 000091-094; CR/R 003 at 000162-165; Comp. App. 002 at CX/R 000007). Not being limited to accessing the Cruise Terminal, the annual cost of these permits is not an Access Fee charged for access to the Cruise Terminal.

Moreover, there is no indication that the Tariff’s Decal Fees are imposed for any purpose other than offsetting Respondent’s costs incurred in issuing decals to vehicles and the decals

themselves. (*See* Respondent’s Resp. Br., at 22, 23). In fact, Respondent admits that the Decal Fees it collects from entities pursuant to the Tariff are “without regard to whether any of those shuttles actually accessed the terminal.” (Respondent’s Resp. Br., at 22, 23). Accordingly, as with the procurement of specified insurance and the purchase of a Port Use Permit, Decal Fees are not Access Fees, and can be imposed on entities that will never access the Cruise Terminal. (*See* Respondent’s Resp. Br., at 22, 23).

Moreover, until Respondent’s October 31, 2022 Response Brief, there had not been a single instance—throughout the eight (8) years of this proceeding—where Decal Fees have been raised in support or opposition to the claims brought by Complainant. In fact, both parties have represented in their briefings that both Complainant and limousines were charged and paid Decal Fees in accordance with the terms of the Tariff. No disparate treatment or other Shipping Act violations have yet been alleged or found against Respondent relating to the Tariff’s Decal Fees, and so no reparations are presently sought in relation to same.

**1. Since the Original Complaint, “Access Fees” have been differentiated from “Decal Fees”**

Beginning with Complainant’s first filing in this proceeding, the “Access Fees” at issue have been identified and differentiated from the Tariff’s “Decal Fees.” (*See, e.g.*, Comp. Verified Complaint, at 7-8, 10, 11, 12, and 15; *see also* Comp. First Amend. Verified Complaint, at 7-8, 10, 11, 12, and 15). Thereafter, Complainant’s Original Brief (filed on May 15, 2015) again identified the Access Fees at issue, clearly and specifically differentiating those from the Tariff’s Decal Fees. (*See, e.g.*, Comp. Original Br., at 5 (Cruise Terminal Users were required to “pay an Application Fee ... pay a Decal Fee, and pay Access Fees...”), 10, 19 (identifying that taxicabs, who were charged Decal Fees, “are not charged Access Fees at all”), 23 (showing that while limousines were charged for permits and Decal Fees, they were not charged Access Fees), 24

(taxicabs are not charged Access Fees), 31 (identifying the total Access Fees Respondent collected between January 2014 through June 2014 to be \$94,087.00—such amount does not include Decal Fees (*see also* Resp. Objections to Comp. PFF 24 (June 12, 2015) (agreeing to this proposition); CR/R 081 at 000822-825 (differentiating Access Fees from permit and Decal Fees), 39 (taxicabs not charged Access Fees). In its Original Reply Brief, dated June 24, 2015 (“Comp. Original Reply Br.”), Complainant continued specifying the “Access Fees” at issue, and differentiating those from the Tariff’s Decal Fees. (*See, e.g.*, Comp. Original Reply Br., at 16-19 (addressing the issue of taxicabs being exempt from paying Access Fees).

Respondent’s briefing shows agreement in this understanding. Throughout this proceeding, Respondent has also addressed “Access Fees” in the same manner as defined, contemplated, and presented by Complainant. For instance, beginning with Respondent’s Corrected Brief (“Resp. Corr. Br.”) and Corrected Proposed Findings of Fact (“Resp. Corr. PFF”), both filed June 12, 2015, Respondent consistently displays its understanding and agreement that the “Access Fees” at issue were wholly distinct from the Decal Fees charged pursuant to the Tariff. (*See, e.g.*, Resp. Corr. Br., at 16 fn.2 (“taxicabs are not charged Access Fees”), 24 (informing that “all persons paying Access Fees now pay on a per-trip basis” (citing to Comp. App. 019 at CX/R 000487 (which shows that taxicabs paid Decal Fees, but not Access Fees))), 37 (arguing factors that “justify the exemption of taxicabs from paying Access Fees”), 40 (“the Tariff clearly stated that taxis were not subject to an access fee”), 50 (taxicabs are exempt from paying access fees)).

In fact, even in Respondent’s most recent filings, the separateness of Access Fees and Decal Fees is acknowledged and argued. For instance, while not waiving Complainant’s objections thereto, in Respondent’s Proposed Supplemental Findings of Fact Nos. 13 through 17,

Respondent alleges to have collected Decal Fees from limousines. (*See* Resp. PSFF 13-17).<sup>11</sup> However, Respondent’s Proposed Supplemental Finding of Fact No. 18 clearly forwards the proposition that, while Respondent may have been collecting Decal Fees, Respondent had not been collecting Access Fees from limousines prior to January 1, 2014. (*See* Resp. PSFF 18; *see also* Resp. PSFF 30). Additionally, in Respondent’s Proposed Supplemental Finding of Fact No. 35, Respondent proposes as fact a statement that Complainant’s “total access fees” between July 2005 and July 2006 were based solely on the number of times Complainant accessed the Cruise Terminal. ((*See* Resp. PSFF 35). Again, in Respondent’s Proposed Supplemental Finding of Fact No. 56, Respondent states that the “total fees charged to Complainants to access the terminals during the relevant period” was “\$17,576.00.” (Resp. PSFF 35). This number represents the total Access Fees paid by Complainant to Respondent from June 2011 (prorated for June 16, 2011) through July 2014. (*See* CR/R 078 at 000807-809; CR/R 079 at 000812-814; CR/R 080 at 000817-820). However, during that same time-period, Respondent calculates that Complainant also paid \$264.34 for Port Use Permit renewals and Decal Fees combined (without distinguishing the amount paid for Decal Fees). (Resp. PSFF 21). Accordingly, Respondent again recognizes that Access Fees do not include Decal Fees.

Additionally, in Respondent’s February 2, 2016 Response to Complainant’s Exceptions and Appeal of the Initial Decision (“Resp. to Exceptions and Appeal”), Respondent again clarified that Decal Fees are not Access Fees. Quoting ALJ Guthridge’s Finding of Fact No. 45 issued in the December 4, 2015 Initial Decision (“ID”), Respondent acknowledged that “[t]he August 28, 2006, amendment did not change the access fees imposed on commercial passenger vehicles by

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<sup>11</sup> When referring to Respondent’s October 31, 2022 Proposed Supplemental Findings of Fact, this brief will cite to “Resp. PSFF” followed by the number of the specific proposed finding(s) of fact (*e.g.*, “Resp. PSFF 13”).

Note C.” (Resp. to Exceptions and Appeal, at 10 (citing ALJFF 45)).<sup>12</sup> This is significant because the November 1, 2003 amendment (the one changed by the August 28, 2006 amendment) provided that Limousines, Taxis, and Taxicabs were charged Decal Fees, but no other vehicles operated by Ground Transportation Companies were charged Decal Fees. (Comp. App. 020 at CX/R 000513).

**Note C.** In addition to the annual Port Use Permit fee, ground transportation companies, as defined herein, accessing the Texas Cruise Ship Terminal on Galveston Island®, or the Texas Cruise Ship Terminal at Pier 27 (Cruise Ship Terminal Complex), shall be subject to the following decal or access fees for each vehicle that shall have such access:

| <u>Type of Vehicle</u>                                                                              | <u>Decal and Access Charge</u>          |
|-----------------------------------------------------------------------------------------------------|-----------------------------------------|
| Bus, Charter Bus, Commercial Passenger Vehicle, Courtesy Vehicle, Shuttle or Bus and Shuttle or Bus | \$10.00 per Access / Trip               |
| Limousines                                                                                          | \$10.00 per decal per vehicle, annually |
| Taxi and Taxicabs                                                                                   | \$7.50 per decal per vehicle, annually  |

(Comp. App. 020 at CX/R 000513; *see also* ALJFF 29). Then, with the implementation of the August 28, 2006 amendment, all Ground Transportation Companies (not limited to limousines, taxis, and taxicabs) were charged Decal Fees. (CR/R 002 at 000017).

**Note C.** In addition to the annual Port Use Permit fee, ground transportation companies, as defined herein, accessing the Texas Cruise Ship Terminal on Galveston Island®, or the Texas Cruise Ship Terminal at Pier 27 (Cruise Ship Terminal Complex), shall be subject to the following decal and/or access fees for each vehicle that shall have such access:

| <u>Type of Vehicle</u>                                                                                                   | <u>Decal and Access Charge</u>                                           |
|--------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------|
| Bus, Charter Bus, Commercial Passenger Vehicle, Courtesy Vehicle, Shuttle or Bus<br>(**Except as noted in Note D, below) | \$10.00 per decal per vehicle, annually and<br>\$10.00 per Access / Trip |
| Limousines                                                                                                               | \$10.00 per decal per vehicle, annually                                  |
| Taxi and Taxicabs                                                                                                        | \$7.50 per decal per vehicle, annually                                   |

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<sup>12</sup> When referring to the ALJ’s Findings of Fact, this brief will cite to “ALJFF” followed by the specific finding(s) of fact (*e.g.*, “ALJFF 45” would refer to the ALJ’s Finding of Fact No. 45).

(CR/R 002 at 000017). Under the August 28, 2006 amendment, all Ground Transportation Companies were required to pay Decal Fees. As found by ALJ Guthridge and adopted and agreed-to by Respondent, “[t]he August 28, 2006 amendment did not change the access fees imposed on commercial passenger vehicles by Note C,” it only changed the Decal Fees. Accordingly, since a change in Decal Fees did not change Access Fees imposed, Decal Fees are not a component of Access Fees and, therefore, have no impact on the amount of Access Fees paid by limousines.

Respondent again acknowledged its understanding that Access Fees and Decal Fees are fees assessed for different services provided by Respondent to Ground Transportation Companies accessing the Cruise Terminal when, again in its February 2, 2016 Response to Complainant’s Exceptions and Appeal of the Initial Decision, it quotes another of ALJ Guthridge’s findings of fact, stating that “[Respondent] had invoiced [Complainant] a total of \$25,430.00 for access to the port between January 2005 and June 2006.” (Resp. to Exceptions and Appeal, at 11 (citing ALJFF 49)). The ALJ’s finding of fact No. 49 relies on Exhibit C3 to the Affidavit of Jeffrey A. Compton, CPA/ABV, CFE which represents that from July 2005 through June 2006, Complainant accessed the Cruise Terminal 2,543 times, and was invoiced at \$10.00 per access, totaling \$25,430.00 in Access Fees. (ALJFF 49; *see also* Comp. App. 021 at CX/R 000589; Comp. App. 022 at CX/R 000885; Comp. App. 023 at CX/R 000971). Accordingly, it is again shown that both ALJ Guthridge and Respondent have throughout this proceeding agreed that the total Access Fees—“total [charge] for access to the port”—arises from the number of times a vehicle entered the Cruise Terminal, and does not take into account registration or Decal Fees.

In Complainant’s Proposed Supplemental Findings of Fact filed on September 30, 2022, Complainant stated as follows:

“For the month of June 2011, Complainant 81<sup>st</sup> Dolphin paid \$400.00 in Access Fees to Respondent Wharves Board. (Comp. App. 004 at 000109, 000123; Comp. App. 005 at 000168.)”

(Comp. PSFF 2).<sup>13</sup> In response, Respondent stated that it had “[n]o objection” to this fact. (Resp. Obj. to Comp. PSFF 2).<sup>14</sup> At that time, Complainant’s Access Fees amounted to \$400.00 per month (\$8.00 per parking space for 50 parking spaces). (See CR/R 002 at 000094-095; CR/R 078 at 000807-808; CR/R 010 at 000379-385). Additionally, according to Respondent, on April 15, 2011, Complainant paid the Tariff rate for the annual renewal of its Port User Permit and Decal Fees for its vehicles that accessed the Cruise Terminal. (CR/R 078 at 000809-810; *see also* CR/R 002 at 000091-095). Accordingly, Respondent’s assent to this proposed finding of fact, where no percentage of Decal Fees were incorporated into the Access Fees charged to Complainant to access the Cruise Terminal in June 2011, show’s Respondent’s understanding that Decal Fees are not Access Fees. This same calculation and agreement by Respondent continues for the years 2012, 2013, and 2014. (See Resp. Obj. to Comp. PSFF 3 and 4).

ALJ Guthridge further expressed recognition of the fact that Decal Fees are separate from the Access Fees forming the basis of Complainant’s pleadings and Respondent’s violations of the Shipping Act in the December 4, 2015 Initial Decision’s (“ID”) Finding of Fact No. 50. Therein identifying that “[o]n December 17, 2007, the Port amended Note C of the Tariff Circular No. 6 to impose new decal and access charges.” (ID at 18; *see also* CR/R 002 at 000094; Comp. App. 024 at CX/R 000988).

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<sup>13</sup> When referring to Complainant’s September 26, 2022 Proposed Supplemental Findings of Fact, this brief will cite to “Comp. PSFF” followed by the number of the specific proposed finding(s) of fact (*e.g.*, “Comp. PSFF 2”).

<sup>14</sup> When referring to Respondent’s Objections to Complainant’s Proposed Supplemental Findings of Fact filed on October 31, 2022, this brief will cite to “Resp. Obj. to Comp. PSFF” followed by the number of the specific proposed finding(s) of fact objected to (*e.g.*, “Resp. Obj. to Comp. PSFF 2”).

It is not only Complainant, Respondent, and ALJ Guthridge who have consistently recognized that Decal Fees are not Access Fees, the underlying Tariff does as well. In Note C of Tariff Circular No. 6, Item 111, the Tariff identifies that “[i]n addition to the annual Port Use Permit fee, ground transportation companies, as defined herein, [accessing the Cruise Terminal], shall be subject to the following decal **and/or** access fees for each vehicle that shall have such access.” (CR/R 002 at 000094; CR/R 003 at 000165; Comp. App. 003 at CX/R 000007; *see also* Resp. Obj. to Comp. PSFF 24 (stating that “[t]he Tariff speaks for itself”). Additionally, in Respondent’s September 22, 2014 amendment, the Tariff again expressly differentiates between Access Fees and Decal Fees, stating that “[t]his Access Fee and decal fee will be effective until October 1, 2014.” (Comp. App. 019 at CX/R 000487-489; *see also* ALJFF 73).

## **2. Taxicabs do not pay Access Fees, but they do pay Decal Fees**

The clear distinction between Access Fees and Decal Fees expressed and recognized by the parties is even more apparent in the briefings and opinions pertaining to taxicabs. In the Initial Decision, ALJ Guthridge stated that “hotels, limousines, and buses were charged for each access, and ***taxicabs were not charged for access.***” (ID at 32 (emphasis added); *see also* CR/R 002 at 000094; CR/R 003 at 000165; Comp. App. 003 at CX/R 000007 (showing that taxicabs were charged Decal Fees, but not Access Fees)). In support of that determination, ALJ Guthridge cited to ALJFF 29, 50, and 65, which identified both the Access Fees and Decal Fees assessed to Ground Transportation Companies under the several relevant versions of the Tariff. (*Id.*). Later in the Initial Decision, addressing Complainant’s argument that Respondent did not charge Access Fees to taxicabs or limousines, ALJ Guthridge expressly identifies that “[t]he 2007 Tariff Circular No. 6 did not impose an access fee on either taxicabs or limousines with a seating capacity of not more than eight persons.” (ID at 35 (citing ALJFF 50); *see* IDR at 38, 44, 46-47, and 66; *see also id.* at

53 (“[Respondent] made a reasonable, discretionary business decision **not to charge access fees to taxicabs.**”). Looking again at the 2007 Tariff Circular No. 6, the Honorable Judge will find that no Access Fees, but indeed only Decal Fees were imposed on taxicabs or limousines with a seating capacity of not more than eight persons. (CR/R 002 at 000094).

Moreover, in Respondent’s June 12, 2015 Corrected Brief (“Resp. Corr. Br.”), Respondent argued that it has business reasons which “justify the exemption of taxicabs from [p]aying Access Fees.” (Resp. Corr. Br. at 36-37; *see also* ID at 35). Later, in Respondent’s February 2, 2016 Response to Complainant’s Exceptions and Appeal of the Initial Decision (“Resp. to Exceptions and Appeal”), Respondent again argued that “there was no ‘selective enforcement’ as to taxis because **taxis were not charged access fees under the Tariff.**” (Resp. to Exceptions and Appeal, at 17-18 (emphasis added) (citing ALJFF 29; Comp. App. 019 at CX/R 000487 (“depicting taxis separately from other types of ground transportation services **with no access fee required**” (emphasis added))); *see also* Comp. App. 025 at CX/R 001055 (arguing that transportation factors justify Respondent’s decision to not charge taxicabs Access Fees); ID at 36). Again, since taxis and taxicabs were not charged Access Fees while paying Decal Fees, limousines also were not assessed Access Fees while paying Decal Fees.

Additionally, in its April 16, 2021 Order on Initial Decision on Remand (“OIDR”), the FMC relied in part on representations and conclusions made by Respondent “that ‘requiring taxicab companies to also pay Access Fees, or to collect and then remit Access Fees from passengers would be an additional disincentive to taxicabs servicing the Cruise Terminal...’;” that “one problem with charging access fees on taxis was that Respondent could not do so unilaterally;” and other representations demonstrating that, while Taxis and Taxicabs were charged Decal Fees, they were not charged Access Fees. (OIDR at 21 (citations to the record omitted)). In that same

decision, the FMC further determined that “Respondents did not provide evidence that they exempted certain limousines from access fees based on legitimate transportation factors.” (OIDR at 26).

Regarding Respondent’s Shipping Act violation arising from its selective enforcement of the Tariff, the FMC provided:

*Second, Complainants argue that while they were charged the full amount required by the Tariffs, **Respondents routinely failed to collect any access fees from limousines** that were subject to per-trip fees under the 2007 Tariff and July 2014 Tariff.*

\* \* \* \* \*

*Complainants have, however, proved their second selective enforcement claim.*

(OIDR at 27 (emphasis added)). The FMC continued, identifying that Complainant proved injury resulting from Respondent’s failure to collect Access Fees from limousines, and found that “Complainants paid more (\$8.00 monthly per-space fees) than did limousines against whom the Tariffs were not enforced (\$0).” (OIDR at 33-34). Accordingly, where Respondent claims to have consistently collected Decal Fees from limousines throughout the reparations period, the FMC here identifies that, even if that were so, Respondent still failed to collect Access Fees.

It is not only the parties, the OALJ, and the FMC who have consistently recognized that Decal Fees represent a separate fee from the Access Fees forming the basis of Respondent’s Shipping Act Violations, the D.C. Circuit also recognizes the difference. In the D.C. Circuit’s May 11, 2018 opinion on this case, that Court recognizes the distinction between the two, noting that “[w]hen compared to taxicabs, however, the evidence supports a finding that Complainants were charged more – Complainants were charged for access while taxicabs were not charged anything at all.” *Santa Fe Discount Cruise Parking, Inc. v. Fed. Mar. Comm’n*, 889 F.3d 795, 797 (D.C. Cir. 2018).

Accordingly, until Respondent's October 31, 2022 filing, there has been no ambiguity throughout this proceeding between the Access Fees at issue and the Decal Fees charged under the Tariff.

**C. Respondent's innovative "methodology" is unsupported and based on incorrect data**

Respondent miscalculates the Decal Fees and the Access Fees, both for Complainant and for alleged limousines. It then applies those inaccurate numbers to hypothetical circumstances, often based not only on the incorrect data, but on baseless assumptions. Respondent's attempt to complicate the simple determination of reparations is well-executed, but incorrect and misleading.

**1. Respondent miscalculates the Decal Fees it collected**

For the reasons established in the sections above, Complainant denies that Decal Fees affect the reparations owed arising from Respondent charging Access Fees to Complainant, but not to limousines. Until October 31, 2022, Respondent agreed. (*See* Respondent's. Resp. to Compl. Amend. Br. on Reparations on Remand, dated July 30, 2021, at 7-8). Nevertheless, because Respondent has recently changed its position on this topic, Complainant is compelled to identify the many and persistent miscalculations and misrepresentations contained in Respondent's Response Brief and attendant Proposed Supplemental Findings of Fact.

As an initial matter, Respondent lumps "permit" and "registration" fees in with Decal Fees, and does not attempt to identify what portion of the fees presented and included in Respondent's calculations actually represented Decal Fees. As a reminder, the Commission has not permitted consideration of the affect "permit fees" or "registration fees" might have on the reparations owed to Complainant, and for good reason. Those fees are paid by any entity who "conducts activities on or in connection with" the whole of Respondent's property. (CR/R 001 at 000016; CR/R 002 at 000091; CR/R 003 at 000162). Per the Tariff, such "permit" and "registration" fees apply to a

broad range of entities activities, and is not specific to the Cruise Terminal or limited to Ground Transportation Companies.

Nevertheless, in its Response Brief, Respondent applies – in the aggregate – “permit fees,” “registration fees,” and Decal Fees to measures of pure speculation and hypothetical scenarios in order to arrive at the numbers it provides. In particular, Respondent argues that during the reparations period, “Complainant paid \$17,760.00 total in flat rate access fees and \$345.00 in registration and decal fees, for a total of \$18,015.00.” (Resp. Response Br., at 26). Before moving beyond this statement, it is necessary for Complainant to identify the several problems with this statement. First, during the reparations period, Complainant paid a total of \$17,576.00 in Access Fees to Respondent (accounting for prorating June 2011). (*See* Resp. Obj. to Comp. PSFF 2-4; *see also* Comp. App. 004 at CX/R 000109-113, 000123-160; Comp. App. 005 at CX/R 000168-169; Comp. App. 006; Comp. App. 007; Comp. App. 008 at CX/R 000177-179). For each year of 2011 through 2013, Complainant paid \$50.00 to for its annual renewal of the Port Use Permit, and \$30.00 in Decal Fees for three decals, and in 2014 paid \$75.00 for its annual renewal of the Port Use Permit, and \$30.00 in Decal Fees for three decals, totaling \$345.00. However, prorating the 2011 fees and 2014 fees to account for the reparations period, the Complainant paid a total of \$93.70 in Decal Fees and \$170.62 in permit/registration fees for June 16, 2011 through July 31, 2014. (CR/R 078 at 000809-811; CR/R 079 at 000814-816; CR/R 080 at 000820-821; CR/R 081 at 000825-827). Accordingly, combining the Access Fees with the Decal Fees, the total Complainant paid during the reparations period was \$17,669.70.

Respondent then alleges that 2011 through 2014, limousines (collectively) “paid \$21,000.00 in registration and decal fees.” (Respondent’s Resp. Br., at 26). Respondent then identifies that prorated for the reparations period, that amount is reduced to \$17,000.19.

(Respondent's Resp. Br., at 26). However, Respondent does not cite to a proposed finding of fact or evidence in the record to support this statement. Therefore, Complainant was required to search for possible support, and found a similar representation in Respondent's Proposed Supplemental Finding of Fact No. 20. Unfortunately, that proposed finding of fact also does not cite to evidence in the record, and so Complainant was required to assume Respondent was relying on its proposed findings of fact numbered 13 through 19. Therein, respondent not only makes multiple miscalculations and misassignments of payments versus deductions on accounts, but also makes no showing that any of the entities whose payments it incorporates into its calculation were actually for limousines. As identified in Complainant's objections and responses to Respondent's Proposed Supplemental Findings of Fact Nos. 13-20, many of the entities included in Respondent's calculation operated buses and other vehicles that did not meet the Tariff's definition of a "Limousine."<sup>15</sup> Of equal importance in evidencing the significant inaccuracies of Respondent's calculations, Respondent makes no effort or showing which would allow the deduction of Port Use Permit fees, or other "permit" and "registration" fees, from the numbers provided. As Complainant identified in the preceding paragraph, and as clearly identified in the evidence cited to in Respondent's relevant proposed findings of fact, the payments Respondent is utilizing in arriving at its numbers are categorized as "SECURITY COST RECOVERY-C/T-PERMITs," not Decal Fees. (See Resp. PSFF 13-19; *see also* CR/R 078 at 000809-811; CR/R 079 at 000814-816; CR/R 080 at 000820-821; CR/R 081 at 000825-826). Accordingly, Respondent's calculations are bloated numbers based on payments unrelated to Decal Fees (i.e., including payments of other "permit" and initial and/or renewal "registration" fees), and cannot be relied upon.

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<sup>15</sup> To limit the length of this Reply Brief and avoid the causing the Honorable Judge to read the same voluminous evidence and objections multiple times, Complainant adopts its objections and responses to Respondent's Proposed Supplement Findings of Fact Nos. 13-20 here, as though fully set forth in this paragraph.

## **2. Respondent's calculations are based on unfounded assumptions and unsupported statements**

After providing the incorrect Decal Fee payments identified above, Respondent states: “[A]s notice above Complainant accessed the terminals an average of 397.5 times a month in 2014.” (Respondent’s Resp. Br., at 26). However, Complainant could find no other reference to that number in Respondent’s Response Brief, and again, no citation was provided by Respondent in support of same. The best Complainant has been able to determine from review of Respondent’s documents is that Respondent has taken the average of Complainant’s access to the Cruise Terminal in the months of October and November 2014, and is representing that two-month average to be the yearly average, without regard to facts, evidence, cruise ship schedules, or any other necessary verification or support. (*See* Comp. App. 026 at CX/R 001056-1057). Respondent then asserts that during that same time-period, “limousines accessed the terminal only 125 times a month.” (Respondent’s Resp. Br., at 26). Again, Respondent provides no citation whatsoever to support this claim, and Complainant has been unable to find any evidence in support of this assertion, and denies the claim as a fabrication. Moreover, the months of August through December 2014 are irrelevant to any determination being made in this proceeding.

Respondent then makes similar unsupported statements of fact and arrives at incorrect numbers relating to Complainant’s access to the Cruise Terminal between July 2005 and July 2006. (Respondent’s Resp. Br., at 26). In addition to being incorrect, these numbers are likewise irrelevant and immaterial to determining the damages incurred during the June 16, 2011 through July 31, 2014 reparations period.

Undaunted by the lack of facts to support its theory, Respondent alleges—again without citation or support—that “[b]y 2014, Complainant accessed the terminals over 318% more a month alone than all limousines combined.” (Respondent’s Resp. Br., at 26). Respondent urges the

Honorable Judge that this information, unsupported and incorrect as it is, requires that any award of reparations must “compare the total of access fees paid by the limousines, that is their registration and decal fees.” (Respondent’s Resp. Br., at 26-27). While Respondent appears to be omitting the actual Access Fees from this consideration, it certainly is improperly seeking to include inapplicable “registration” fees. Regardless of what Respondent is attempting to communicate here, it is based upon nothing more than a hypothetical circumstance utilizing incorrect and assumed data.

Respondent concludes its Response Brief representing that during the reparations period, it “charged limousine companies a total of \$17,000.19 prorated in registration and decal fees.” (Respondent’s Resp. Br., at 27). Again, without citation, Complainant is left to assume that Respondent is relying upon the evidence it cites in support of Respondent’s Proposed Supplemental Findings of Fact Nos. 13-19. As identified above and in Complainant’s objections and responses to those proposed findings of fact, those numbers are inaccurate, include fees paid by entities operating non-Limousine vehicles, include debits as credits, and Port Use Permit fees, “registration” fees, and “permit” fees that are improper and inapplicable to Decal Fees, Access Fees, or any consideration before the Honorable Judge.

To that wholly unreliable information relating to the entirety of the reparations period, Respondent adds \$2,669.00, which it claims to be the total Access Fees it charged to limousines between January and July 2014. (Respondent’s Resp. Br., at 27-28). Unfortunately, the citation provided by Respondent does not support or even address this statement. Complainant did find Respondent’s Proposed Supplemental Finding of Fact No. 30 to be the likely intended citation, and so addresses the statement based upon that assumption. As with Respondent’s tallied “permit/decal” fees presented in its proposed findings of fact and potentially utilized in its

Response Brief, the Access Fees identified in Respondent's Proposed Supplemental Finding of Fact No. 30 is equally incorrect and unreliable. Complainant again incorporates its objections and responses to that proposed finding of fact as though fully set forth herein for the same reasons as before, but will again summarize for the Honorable Judge that the subject proposed finding of fact is comprised of fees paid by entities operating non-Limousine vehicles, include debits as credits, and Port Use Permit fees, "registration" fees, and "permit" fees that are improper and inapplicable to Decal Fees, Access Fees, or any consideration before the Honorable Judge.

Based on these incorrect, improper, and unsupported claims, Respondent alleges that the amount charged to limousines during the reparations period is \$19,678.19, inclusive of unrelated "permit" and "registration" fees and charges to entities other than limousines. (Respondent's Resp. Br., at 28). Respondent then, again without citation or support, reasserts that Complainant accessed the Cruise Terminal "more than 300% times compared to all limousines put together." (Respondent's Resp. Br., at 28). In reality, the amount of "Decal Fees" collected by Respondent from limousines would be a fraction of this figure, and the quantity Complainant's access is unreliable and immaterial to amount she paid for access versus the amount charged to limousines – zero. Indeed, Respondent erroneously included Complainant within its calculation, and, as shown above, Decal Fees represent approximately 30% of total "permit" fees paid by her. And, for limousine companies that paid the initial \$250 registration fee (i.e., not the \$50 or \$75 renewal), Decal Fees likely will represent less than 10% of fees and charges paid.

#### **D. The established method of calculating reparations**

In the end, the correct method of calculating the reparations owed to Complainant is that outlined in *Ceres II*, its progeny, and predecessors, including the Commission's decision in *Valley*. Complainant and limousines all paid Port Use Permit fees pursuant to the Tariff. Complainant and

limousines all paid Decal Fees pursuant to the Tariff. Complainant paid Access Fees pursuant to the Tariff, but (1) limousines were exempt from being charged Access Fees by the Tariff in violation of the Shipping Act between June 16, 2011 and June 30, 2014; and (2) limousines were not charged the Access Fees required by the Tariff between June 16, 2011 and July 31, 2014. From these disparate treatments in violation of the Shipping Act, Complainant was injured by being caused to pay more in Access Fees than limousines. The customary and correct determination of Complainant's damages is measured by the difference between what Complainant paid, and what Complainant would have paid but for the detrimental treatment. *Ceres Marine Terminals, Inc. v. Maryland Port Admin.*, 29 S.R.R. 356, 374 (FMC 2001) (*Ceres II*) (the proper measure of damages is "the difference between the rate that was charged and collected, and the rate that would have been charged but for the undue preference and prejudice").

Here, that measure would be the difference between what Complainant paid in Access Fees during the reparations period (\$17,576.00), and the rate that would have been charged but for the undue preference given limousines (\$0.00). (Comp. PSFF 2, 3, 4, 18, 19, 20, 21; Resp. Obj. to Comp. PSFF 2, 3, 4, 18, 19, 20, 21; Comp. App. 001 at CX/R 000001-002; Comp. App. 002 at CX/R 000007-008; Comp. App. 003 at CX/R 000016-019 (Murchison Affidavit, ¶¶ 13, 23, 26-27); Comp. App. 004 at CX/R 000109-113, 000123-271; Comp. App. 005 at CX/R 000168-169; Comp. App. 006; Comp. App. 007; Comp. App. 008; Comp. App. 016; Comp. App. 017; Comp. App. 018; Resp. Corr. Br. (June 15, 2015), at 21, fn.5 and 23, fn.6; Resp. Corr. PFF 99-100; CRRO at 13).

However, if the ALJ chooses to consider whether Decal Fees affect the reparation's owed, the calculation is equally straight-forward. It is established that Complainant paid all Decal Fees and Access Fees required by the Tariff during the reparations period. (Respondent's Br. in Resp.

to Comp. Am. Br. on Reparations on Remand, July 30, 2021, at 8). However, had Complainant been granted the same preferential treatment as limousines during that time period, Complainant would still have paid its Decal Fees, but not its Access Fees. Accordingly, the difference in what Complainant did pay and what Complainant would have paid but for the different treatment, remains the amount of Access Fees paid by Complainant during the reparations period—\$17,576.00.

### **CONCLUSION**

The Federal Maritime Commission established the reparations period as beginning on July 16, 2011, and extending through June 30, 2014 for Respondent’s Shipping Act violation arising from differential treatment of Complainant pursuant to the terms of the Tariff. The Commission also found the reparations period for Respondent’s “selective enforcement” violation of the Shipping Act to extend from June 16, 2011 through July 31, 2014. However, in response to Respondent’s motion, the Commission permitted the parties to brief the end-date of Respondent’s “selective enforcement” violation, if such date should not be July 31, 2014. By Respondent’s own briefing and evidence, the end-date for the “selective enforcement” violation is August 2014. However, because no specific date in August has been identified, Complainant agrees with the Commission’s ruling in the light most favorable to Respondent, and assumes Respondent’s violation ended on August 1, 2014. Accordingly, the reparations period begins on June 16, 2011 and ends no sooner than June 30, 2014 (the first violation), and no later than July 31, 2014 (the second violation).

The disparate treatment complained of and found in this proceeding relates not to registration, permit, or Decal Fees imposed even-handedly to limousines and Complainant, but to those additional Access Fees imposed on Complainant, but not to limousines as pleaded and

briefed throughout this proceeding. Accordingly, the fees constituting Respondent's Shipping Act violations—those paid by Complainant but not by limousines—form the corpus of the reparations and the calculation thereof.

As identified in Complainant's Brief and above, the FMC has established precedent for determining reparations in circumstances such as this. In *Ceres II*, it was held that “where a party has breached a duty to apply its criteria for granting lower rates in a fair and evenhanded manner,” the proper measure of damages is “the difference between the rate that was charged and collected, and the rate that would have been charged but for the undue preference and prejudice.” *Ceres Marine Terminals, Inc. v. Maryland Port Admin.*, 29 S.R.R. 356, 374 (FMC 2001) (*Ceres II*).

Applied to the matter at hand, the difference between the rate charged and collected (\$17,576.00 in Access Fees during the reparations period), and the rate that would have been charged but for the undue preference given limousines (\$0.00 in Access Fees during the reparations period), the reparations due from Respondent as a result of both violations of the Shipping Act are \$17,576.00.

Decal Fees do not affect this calculation because there was no “undue preference and prejudice” found with regard to the Decal Fees paid by Complainant and/or limousines; each apparently paying the full Tariff rate.

For the foregoing reasons, the reparations due 81<sup>st</sup> Dolphin total \$17,776.00. Should the ALJ determine to pro-rate reparations arising from June 2011, such pro-rated amount would reduce the reparations due to 81<sup>st</sup> Dolphin by \$200.00, leaving \$17,576.00 as the total reparations owed to 81<sup>st</sup> Dolphin.

Respectfully submitted,  
GILMAN \*ALLISON LLP



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**CERTIFICATE OF SERVICE**

I hereby certify that I electronically filed this document on this **22nd day of November, 2022**, and that a true and correct copy of the foregoing was served on all counsel of record **via** certified mail – return receipt requested and/or email, as indicated below:

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